Ashcombe Valuers
Property valuation and advisory

Valuation Report
Stage 3 Land, Morayfield

Mortgage security valuation of 96 lot residential land stage, Lot 41 Rowley Road, Morayfield QLD 4

Prepared for the proposed senior lender to Precinct Land Co Pty Ltd
Date of valuation 21 July 2026
Report date 28 July 2026
Version 1.0 Final
Reference: ASH-VAL-QLD-2026-0728-03
Date: 28 July 2026

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Borrower and owner	Precinct Land Co Pty Ltd
ABN	34 822 626 657
Sponsor	Precinct Communities Group Pty Ltd (trading as Precinct Communities)
Property	Stage 3, Lot 41 Rowley Road, Morayfield QLD 4506 (Moreton Bay local government area)
Interest valued	Freehold, as part of the whole site held under first registered mortgage
Purpose	Mortgage security for the senior secured land and civils development facility
Date of inspection and valuation	21 July 2026
Report date	28 July 2026
Prepared by	Ashcombe Valuers
Prepared for	Proposed senior lender (credit assessment team)
Version	1.0 Final

Valuation particulars

1. Executive Summary

Ashcombe Valuers has been instructed to value stage 3 of the Morayfield masterplanned estate for first mortgage security purposes. Stage 3 comprises 96 of the 286 approved residential lots and occupies about 12.4 hectares of the 38.5 hectare site at Lot 41 Rowley Road. It is the next stage after stages 1 and 2 (148 lots), which are the subject of the A$52.0M facility request. Stage 3 is not funded by that facility, but it forms part of the whole site over which the first registered mortgage is proposed.

We have adopted a market value of the stage 3 land, in its present englobo condition and on an as-is basis, of A$9,300,000 exclusive of GST. This equates to A$96,875 per approved lot and A$750,000 per hectare. The value is supported by a residual (hypothetical development) analysis and cross-checked against five englobo sales, including two Burpengary East sales in 2026, which sit about 4 km from the subject.

Market value, as-is englobo	A$9,300,000 (excl. GST)
Rate per approved lot	A$96,875
Rate per hectare (12.4 ha)	A$750,000
180 day restricted realisation value	A$7,900,000
90 day forced sale value	A$7,000,000
Gross realisation on completion (96 lots)	A$52,320,000
Average lot price adopted	A$545,000
Primary method	Residual, cross-checked by direct comparison

Valuation summary

Four matters should be read with the figure. First, the A$545,000 average lot price is at the upper end of the independent evidence. Harcourt Lyle Valuers adopted about A$524,000 for stages 1 and 2 in March 2026, and at that price our residual land value falls to about A$7.8M. Second, the residual is highly geared to price: a 4% reduction in average lot price reduces land value by about 16%. Third, stage 3 does not yet hold operational works approval, and the cost inputs are extrapolated from a quantity surveyor's report that covered stages 1 and 2 only. Fourth, parts of the estate lie within a flood and overland flow overlay, and we have not sighted a stage 3 specific flood study.

2. Instructions and Scope

We were instructed to provide a market value of the stage 3 land for mortgage security purposes, together with restricted realisation values and a gross realisation on completion. We inspected the site and surrounding estate on 21 July 2026. The valuation is on the basis of market value as defined by the Australian Property Institute, being the estimated amount for which an interest in real property should exchange on the date of valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing.

We have relied on the following documents, which we have not independently audited:

- The sponsor information memorandum dated 2 February 2026, which assumes an average lot price of about A$545,000 and absorption of 8.0 lots per month.
- The Harcourt Lyle Valuers valuation dated 13 March 2026, which adopts a gross realisation of A$77.6M for stages 1 and 2, an average lot price of about A$524,000, absorption of 5.5 lots per month and an as-is land value of A$28.4M for the site.
- The Brannock & Dyer Quantity Surveyors report dated 20 March 2026, which estimates civil and infrastructure construction for stages 1 and 2 at A$32.4M against A$29.6M in the information memorandum.
- The development approval granted by Moreton Bay Regional Council on 21 March 2025 for 286 lots in six stages, and the operational works approval for stages 1 and 2 received on 10 November 2025.
- The indicative term sheet dated 8 May 2026.

Ashcombe Valuers has no pecuniary interest in the property or the borrower, and has not acted for Precinct Communities or any related party in the past 24 months. All values are exclusive of GST and assume the margin scheme applies on lot sales.

3. The Property

3.1 Location and surrounds

The site is at Lot 41 Rowley Road, Morayfield, in the Moreton Bay local government area of south-east Queensland. Burpengary East is about 4 km to the south, and the established Morayfield and Caboolture retail and transport nodes are within a short drive. Surrounding land is a mix of recent masterplanned residential estates, rural residential holdings and remaining englobo parcels. The competing supply of new lots is therefore substantial, and buyers can compare the subject with several estates within a 10 minute drive.

3.2 Site and title

Precinct Land Co Pty Ltd acquired the 38.5 hectare site on 28 June 2024 for A$27.0M, which is A$701,299 per hectare. Harcourt Lyle Valuers assessed the as-is value of the site at A$28.4M in March 2026, an increase of 5.2% on cost following the development approval. Stage 3 occupies about 12.4 hectares, or 32% of the site area, and 96 of the 286 approved lots, or 34%. The stage 3 area is based on the approved staging plan and has not been surveyed by us. Title is freehold. We have assumed the title is free of encumbrances other than the proposed mortgage, standard easements and the conditions of approval.

3.3 Planning and approvals

The development approval for reconfiguring a lot permits 286 lots in six stages. Stages 1 and 2 hold operational works approval, and bulk earthworks began in November 2025. Stage 3 has not yet received operational works approval, and we have assumed it will be granted on substantially the same terms as stages 1 and 2. Stages 3 to 6 (138 lots) are expected to be funded separately after stage 2 is substantially complete.

3.4 Flood and services

Parts of the site sit within a flood and overland flow overlay. We understand the approved layout accommodates this through filling and stormwater detention, but conditions of approval or revised infrastructure charges could increase cost or delay lot title registration. We have assumed sewer, water and electrical reticulation can be extended to stage 3 from stages 1 and 2 without major trunk upgrades beyond those already costed.

4. Market Evidence

4.1 Lot market

Lot demand in Moreton Bay remains driven by owner occupiers and first home buyers, and pricing depends on borrowing capacity. Recent median lot prices in the corridor are consistent with the A$545,000 average used by the sponsor. Contracts for stages 1 and 2 provide a direct reference: 49 lots are under contract for A$26.4M, an average of A$538,776 per lot, with 10% deposits held in the sales agent's trust account. This is 1.1% below the average we have adopted for stage 3, although the stage 3 mix contains a larger share of 400 m² and larger lots.

Location	Sale date	Area (m²)	Price (A$)	A$ per m²
Burpengary East	Jun 2026	375	528,000	1,408
Burpengary East	May 2026	448	579,000	1,292
Burpengary East	Jul 2026	525	676,000	1,288
Narangba	Jun 2026	312	471,000	1,510
Caboolture	Apr 2026	420	541,000	1,288

Recent lot sales evidence

The evidence shows a clear pattern of falling rate per square metre as lot size increases, from about A$1,510 for the smallest lot to about A$1,288 for the largest. Our stage 3 mix applies the same relationship, and the resulting rates sit inside the range observed.

Lot type	Lots	Avg area (m²)	Avg price (A$)	Total (A$)
Small	18	312	468,000	8,424,000
Standard	40	375	520,000	20,800,000
Large	28	450	582,000	16,296,000
Park frontage	10	525	680,000	6,800,000
Total	**96**	**401**	**545,000**	**52,320,000**

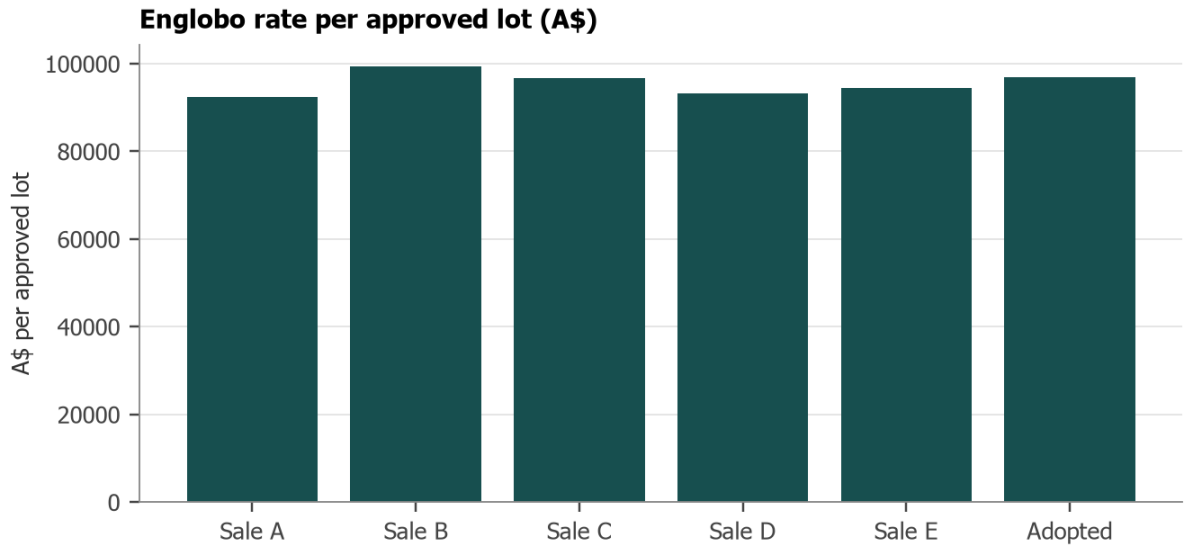
Adopted stage 3 lot mix and pricing

4.2 Englobo sales

Englobo evidence is thinner. We have placed most weight on the two Burpengary East sales completed in 2026, which are the closest in location and date. Sale A was a larger parcel with approval for 112 lots. Sale B was a smaller parcel with approval for 76 lots, and it sold at the higher rate per lot and per hectare. Both had reconfiguration approval at settlement, as does the subject, but neither had operational works approval.

Sale	Date	Area (ha)	Price (A$M)	A$ per lot	A$ per ha
A: Burpengary East (112 lots)	Feb 2026	14.2	10.35	92,411	728,873
B: Burpengary East (76 lots)	May 2026	9.8	7.55	99,342	770,408
C: Narangba (90 lots)	Nov 2025	11.6	8.70	96,667	750,000
D: Caboolture South (120 lots)	Aug 2025	16.9	11.20	93,333	662,722
E: Subject site (286 lots)	Jun 2024	38.5	27.00	94,406	701,299

Englobo sales evidence



Englobo sales compared with the adopted stage 3 rate

Sales A and B average A$95,877 per lot and A$749,641 per hectare. Sale E, our subject site, was acquired before the development approval of March 2025 and is therefore adjusted upward for the approval and for market movement. We have adopted A$96,875 per lot, which is slightly above the average of the two 2026 sales to reflect the fact that stage 3 is the next stage of an estate with an active sales campaign and contracted presales, offset by the lack of stage 3 operational works approval.

5. Valuation Analysis

5.1 Residual method

The residual method is our primary approach, because buyers of englobo land in this market price by reference to the lots that can be created. We assume a developer acquires the land, obtains operational works approval, constructs 96 lots and sells at the adopted prices. Civil costs are extrapolated from the Brannock & Dyer estimate for stages 1 and 2, which equates to A$218,919 per lot (A$32.4M over 148 lots), rounded to A$219,000. We have used the quantity surveyor's figure rather than the lower A$29.6M in the information memorandum. Finance is allowed over about 33 months to final settlement at a rate consistent with the indicative term sheet pricing of 3 month BBSW plus 6.25% p.a., plus fees. The longer holding period reflects the fact that stage 3 lots will compete with stages 1 and 2 for buyers at the 5.5 lots per month absorption we have adopted.

Item	Basis	A$
Gross realisation	96 lots at A$545,000	52,320,000
Less selling costs	3.3% of GRV	(1,726,560)
Net realisation		50,593,440
Civil works	96 lots at A$219,000	(21,024,000)
Contingency	5% of civil works	(1,051,200)
Infrastructure charges	96 lots at A$24,500	(2,352,000)
Professional fees and approvals	7% of civil works	(1,471,680)
Holding costs	Rates, land tax, insurance	(380,000)
Finance and fees	About 33 months	(4,050,000)
Developer's profit and risk	20.0% of GRV	(10,464,000)
Residual for land and acquisition costs		9,800,560
Less acquisition costs	5.5% of land value	(510,930)
Residual land value		**9,289,630**

Residual analysis, stage 3 land

The residual indicates A$9.29M, which we round to A$9,300,000. At that value the project returns a profit of A$10.45M, being 20.0% of GRV and 25.0% on total cost of A$41.87M. This is within the range we would expect a purchaser of englobo land to require, given the exposure to sales velocity and construction cost.

5.2 Direct comparison

Applying the adopted rate of A$96,875 per approved lot to 96 lots gives A$9,300,000. Applying A$750,000 per hectare to 12.4 hectares gives the same figure. Both rates sit within the range of the five sales, and at the upper half of the range observed for the two Burpengary East sales. The stage 3 value is 32.7% of the Harcourt Lyle as-is value for the whole site (A$28.4M), against a 33.6% share of approved lots, which we regard as consistent.

5.3 Reconciliation

The two methods agree, and we have adopted A$9,300,000. We note that the residual is the more sensitive of the two, and that the comparison evidence provides a floor in the event that the lot price assumption proves too high.

5.4 Sensitivity

The table below holds all other inputs constant, including a 20% profit margin on GRV, and varies only the average lot price. It illustrates why we regard the lot price as the principal valuation risk.

Avg lot price (A$)	GRV (A$M)	Residual land (A$M)	Change
500,000	48.00	6.15	-33.8%
524,000	50.30	7.82	-15.8%
545,000	52.32	9.29	0.0%
565,000	54.24	10.69	+15.0%

Sensitivity of residual land value to average lot price

A 10% increase in civil costs, with prices unchanged, reduces the residual to about A$6.8M. Adopting the lower Harcourt Lyle price of A$524,000 for stage 3 would reduce the value to about A$7.8M, which is close to our 180 day value.

6. Mortgage Security Considerations

6.1 Restricted realisation values

Basis	Value (A$)	A$ per lot
Market value, as-is	9,300,000	96,875
180 day restricted realisation	7,900,000	82,292
90 day forced sale	7,000,000	72,917

Stage 3 land, security values

The 180 day value is a discount of about 15% to market value, and the 90 day value is a discount of about 25%. Englobo land has a narrow buyer pool, and a forced sale would probably be to a developer or to Precinct Communities itself. The discounts also reflect the cost of completing operational works approval for stage 3.

6.2 Relationship to the facility

The proposed facility limit is A$52.0M for stages 1 and 2, against sponsor equity of A$15.0M. On the Harcourt Lyle gross realisation of A$77.6M, the loan to GRV ratio is 67.0%, and the quantity surveyor adjusted total development cost of A$69.8M gives a loan to cost ratio of 77.6% on the information memorandum cost base. Cover on those independent figures is thin, with a margin on cost of about 11%. The stage 3 land adds first mortgage security that is not funded by the facility. Its as-is value of A$9.3M is equivalent to 17.9% of the facility limit, and it would be released only through the release price mechanism.

We caution against treating this surplus as a buffer in the early life of the loan. The stage 3 value is not realisable until stages 1 and 2 are sold or the lender enforces over the whole site, and the value depends on the same lot price and absorption assumptions as stages 1 and 2. If prices fall, both parts of the security weaken together. Combined gross realisation on completion of stages 1 to 3, using the Harcourt Lyle and Ashcombe figures, is A$129.9M (A$77.6M plus A$52.3M).

7. Key Risks and Valuation Assumptions

- Sales velocity: only 49 of 148 lots in stages 1 and 2 (33%) are under contract. We adopt absorption of 5.5 lots per month, in line with Harcourt Lyle and below the 8.0 lots per month in the information memorandum. Contracts remain exposed to buyer finance and valuation shortfalls at settlement.
- Price: the A$545,000 average is the upper end of the independent evidence. Each A$10,000 reduction in average lot price reduces the residual value by about A$0.64M.
- Construction cost: stage 3 civils are extrapolated from a stages 1 and 2 report. Earthworks are exposed to wet-weather delay and unforeseen ground conditions.
- Approvals: stage 3 operational works approval is not yet held. Flood overlay conditions and revised infrastructure charges could add cost or delay title registration.
- Affordability: further rate rises or a weaker first home buyer market would pressure pricing and absorption.
- Sponsor: the borrower is a single-project vehicle that depends on Precinct Communities for equity, completion support and funding of stages 3 to 6.

8. Recommendations

- Obtain a stage 3 specific cost estimate from Brannock & Dyer Quantity Surveyors, and a flood and stormwater report confirming that all 96 lots are achievable as approved.
- Require a revaluation on receipt of stage 3 operational works approval, and if absorption falls below 4.0 lots per month for two consecutive quarters.
- Treat the A$7,900,000 180 day value as the basis for any lending value attributed to stage 3.
- Confirm that the margin scheme applies and that infrastructure charges are as assumed.

9. Qualifications and Certificate

This report is prepared for the addressee and for mortgage security purposes only, and no responsibility is accepted to any other party. The valuation is current at the date of valuation and may change materially if market conditions, planning or approvals change. We have not undertaken a contamination, geotechnical or flood assessment and have assumed there are no adverse conditions beyond those disclosed. The report should not be relied on after 90 days from the report date without written confirmation. Lot areas and counts are taken from the approved plans and have not been surveyed.

We certify that we have no interest in the property or the borrower, that the statements in this report are true to the best of our knowledge, and that the analysis and conclusions are our own professional opinion.

Valuer	Ruth Ainsworth, Certified Practising Valuer (AAPI), Ashcombe Valuers
Reviewed by	Tom Quillan, Director, Ashcombe Valuers
Date signed	28 July 2026
Market value adopted	A$9,300,000 (excl. GST)

Valuer sign-off